

there is no clear winner, the stock will move sideways until one side is overcome. If the bulls are stronger than the bears, the stock will slope upward (CD). Most of the time, bearish selling pressure will overcome buying demand and send the bulls running for cover. Down the stock goes, completing the pattern (E).

Table 72.1 Identification Guidelines

Characteristic	Discussion
Appearance	A straight-line run-up (or nearly so) on the left side of the inverted V followed by a downward retrace that sees price recover only a small portion of the prior rise. Price moves sideways to up in the extension before resuming a downward move, completing the (inverted) V.
Rise	From the bottom of the inverted V to the top, price rises at least 10%, but the average is higher: 31%.
Extension	After price retraces a portion of the left-side drop (of the inverted V), price moves horizontally to up, forming the extension. The stock does not rise far enough to form a second peak. Rather, price pauses for a time in its horizontal-to-upward retrace before resuming the downward move. The median extension is 14 days long.
Volume	Trends downward from the start of the inverted V to the end of the extension.
Breakout, confirmation	A downward breakout occurs when price closes below the bottom of the extension, and it happens most of the time. A downward breakout confirms the pattern as a valid one.
Duration	2 weeks to 3 months.